

Breakout direction. By definition, the breakout is always upward from a double bottom. If the double bottom breaks out downward first (a close below the bottom of the lowest valley), then it's not a valid double bottom.

Yearly position, performance. Where are the best performing double bottoms located? The performance numbers are closer than I expected, but it's clear that you want to avoid patterns with breakouts in the middle third of the yearly high–low price range.

Throwbacks. Throwbacks occur about two-thirds of the time. They give investors another opportunity to take a position in a stock or to add to an existing position. When price does throw back, it takes 12 days (on average) from the stock to return to the breakout price. That suggests price peaks in less than a week (which it does: 6 days after rising 8%) and then drops back.

Notice that patterns having a throwback pay a penalty for performance. After a throwback completes, price resumes rising 72% of the time. That means the other 28% continue lower. So there's a risk when a throwback occurs.

Gaps. Breakout day gaps help performance in bull markets. I measured performance from the opening price the day *after* the gap to the ultimate high, so even if you miss owning the stock when a gap happens, you can still participate in the better performance. The numbers are averages, so your results may vary.